

Palantir Technologies Inc.

PLTR NYSE

Hold	\$166.90 ▼ 1.55%	12M Price Target \$185.00	52-Week Range \$106.37 – \$207.52	Market Cap \$401.07B
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PLTR: Nvidia Deal Isn't Stopping the Bleed

WHAT HAPPENED

- Stock is down another 1.5% today and now off ~9% in a week despite a *huge* announcement — a joint AI stack with Nvidia for supply chains. When a stock can't rally on that kind of headline, it tells you the good news is already baked in and buyers are exhausted.
- Insiders are quietly selling (director sold at \$182, another exec at \$174) and there's unusual put buying at \$165 and \$170 — smart money is hedging or bailing near the highs, not adding.

WHY IT MATTERS

The Nvidia partnership is genuinely a big deal — it plants Palantir at the center of the "Sovereign AI" push (governments and big corporations wanting AI systems they fully control, not rented from Big Tech). But the muted reaction tells you the market has already priced in every good thing that could happen. Combine that with cluster insider selling and put flow, and this looks like a stock digesting a huge run — not one about to break out. The setup screams "consolidation or pullback before the next leg," not "buy right now."

POLICY & POLITICAL WATCH

The FY2027 defense budget negotiations are the single biggest thing to watch — the DoD's software modernization budget (where PLTR eats) is slated to grow again, and the ongoing "Golden Dome" missile defense initiative and Army TITAN program are direct tailwinds. There's also a bipartisan push around "Sovereign AI" and restricting Chinese AI infrastructure, which basically hands Palantir a moat — they're the compliant, cleared, US-based option. Headwind to watch: any continuing resolution or government shutdown drama in late September could freeze contract awards temporarily and give the stock an excuse to dip.

IS IT EXPENSIVE?

This is the elephant in the room. At \$401B market cap on ~\$4.8B in revenue, investors are paying about \$83 for every \$1 of sales — for context, Nvidia trades around \$25 and most software peers are \$10-15. On earnings, it's roughly 245x forward — meaning you're paying \$245 for every \$1 of profit next year. The business is genuinely great (40%+ growth, profitable, expanding margins), but the price already assumes years of flawless execution. Any stumble gets punished hard.

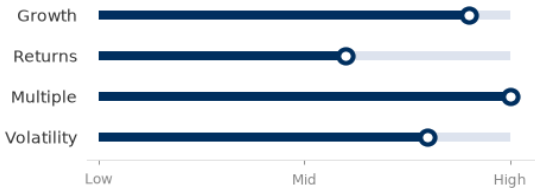
WHAT COULD GO WRONG

- Valuation reset risk: if AI enthusiasm cools even slightly, a stock trading at 80x sales can lose 30% without the business doing anything wrong.

Key Data

Price (USD)	\$166.90
12M Price Target	\$185.00
Upside / (Downside)	+10.8%
Market Cap	\$401.07B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.68
FY2027E EPS	\$0.92
Fwd P/E	245.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$185.00	\$170.00	\$150.00
6 Months	\$220.00	\$180.00	\$135.00
1 Year	\$260.00	\$185.00	\$120.00
2 Years	\$340.00	\$220.00	\$100.00
5 Years	\$500.00	\$300.00	\$80.00
10 Years	\$800.00	\$400.00	\$60.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+0.55%) is the only green sector today — defensive AI/media names catching a bid. Sovereign AI and defense tech are the structural winners tied to bipartisan national security spending.

COOLING OFF: Real Estate (-0.53%) and Financials (-0.34%) — rate uncertainty and softer credit backdrop weighing on both. Consumer Discretionary is quietly bleeding on tariff and consumer-spending worries.

ROTATION WATCH: Money is rotating OUT of high-multiple AI winners (PLTR, some semis) and into more reasonably-priced tech and defensives — classic late-cycle behavior when the crowd starts questioning valuations.

RELATED PLAY: If Sovereign AI keeps building momentum, the "picks and shovels" — Nvidia (NVDA), the hyperscalers that host classified workloads, and defense primes like Lockheed and RTX — benefit without the 80x sales valuation risk.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the reference AI trade — today's PLTR partnership actually accrues more credibility to Nvidia's supply chain / enterprise story.
- RKLB / ANET / defense-tech names: Anything tied to government AI infrastructure that isn't trading at 80x sales is getting relative flows.

PLTR CONTEXT: PLTR is LAGGING its AI peer group this week — down 9% while NVDA is flat-ish. That's a tell: when the highest-multiple name in a theme starts underperforming the theme, it usually means the trade is maturing and rotation has begun. Not a crisis, but a yellow flag.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business, I don't love the price. Great company, demanding entry point.

POSITION SIZE: 2-3% max. The story is real but the volatility is real too — you don't want a 30% drawdown in a 10% position ruining your year.

ENTRY POINTS: I'd wait for \$150-155, which is where the 100-day moving average and prior support sit. Chasing here after a 9% weekly drop while insiders sell is not the trade.

TIME HORIZON: 12-24 months. Catalyst to wait for: Q3 earnings (November) and clarity on the FY27 defense budget.

WHEN TO BAIL: If government revenue growth drops below 30% year-over-year, or if we get a major DoD contract loss to a competitor, thesis is broken.

HEDGING: Cheapest hedge is just sizing small. If you own a real position, buying October \$150 puts is basically buying insurance — you pay a small premium and sleep easier if the market cracks.